

operation that would have worked well in the past will cease to be practicable. Third, the method itself requires a considerable amount of human fortitude. It generally involves buying and selling when the prevalent psychology favors the opposite course, watching one's shares go lower after purchase and higher after sale and often staying out of the market for long periods (*e.g.*, 1927–1930) when most people are actively interested in stocks. But despite these disadvantages, which we do not minimize, it is our view that this method has a good deal to commend it to those temperamentally qualified to follow it.

The Undervalued-Individual-Issue Approach. The other application of the principle of investing in undervalued common stocks is directed at individual issues, which upon analysis appear to be worth substantially more than they are selling for. It is rare that a common stock will appear satisfactory *from every qualitative angle* and at the same time will be found to be selling at a low price by such quantitative standards as earnings, dividends, and assets. Issues of this type would undoubtedly be eligible for a group purchase that would fulfill our supplementary criterion of “investment” given in Chap. 4. (“An investment operation is one that can be justified on both qualitative and quantitative grounds.”)

Of more practical importance is the question whether or not investment can be successfully carried on in common stocks that appear cheap from the quantitative angle and that—upon study—seem to have *average* prospects for the future. Securities of this type can be found in reasonable abundance, as a result of the stock market's obsession with companies considered to have *unusually good prospects of growth*. Because of this emphasis on the growth factor, quite a number of enterprises that are long established, well financed, important in their industries and presumably destined to stay in business and make profits indefinitely in the future, but that have no speculative or growth appeal, tend to be discriminated against by the stock market—especially in years of subnormal profits—and to sell for *considerably less than the business would be worth to a private owner*.³

³ Note that we have applied the touchstone of “value to a private investor” to justify *two* different types of *investment* in common stocks: (1) purchase of issues thought to have exceptional prospects at no higher price than would be paid for a corresponding interest in a private business, and (2) purchase of issues with good records and *average* prospects at a much *lower* price than the business is worth to a private owner. See Appendix Note 45 for the exhibit of an issue of the latter type (Swift and Company).